

RYNO CROFT DIGITAL STUDIO

Starting Your South African Business Properly

The step-by-step launch companion — registration, banking, tax, contracts, and a practical launch-week checklist for South African entrepreneurs.

VOLUME 2 OF THE RYNO CROFT LEARNING SERIES

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Starting Your South African Business Properly

Volume 2 - Ryno Croft Digital Studio Business Handbook Series

Before You Start Reading

Volume 1 of this series - *A Practical Guide to Starting and Running a Small Business in South Africa* - covered the "what and why" of building a business: testing your idea, understanding your numbers, finding customers, marketing, systems, and growth.

This volume is different. It is the "how do I actually do this" companion. If you have already decided you're starting a business and you're now facing the practical, mechanical questions - what do I register, in what order, with whom, and what do I need ready before I do - this is the handbook for that.

We assume you've already done the thinking in Volume 1: you've validated that people will pay for what you offer, and you have at least a rough sense of your numbers. If you haven't done that yet, we'd genuinely recommend starting there first. Registering a business before you know it's a business just means more admin around an idea that hasn't been tested.

How This Handbook Is Organised

This volume follows the actual sequence most South African small businesses go through when starting up: deciding what to register and as what, registering it, sorting out money and tax, protecting what you're building, and then a practical launch-week and first-30-days plan.

Every chapter follows the same four questions as Volume 1:

1. **What is this?** - explained simply, without jargon.
2. **Why does it matter?** - the real consequence of getting it right or wrong.
3. **What should I actually do?** - practical, specific steps.
4. **What should I avoid?** - the mistakes we see most often.

Most chapters close with **Your Action Plan** - a short, specific exercise for the week you're reading it.

The Same System, Carried Over From Volume 1

We continue using the same three priority categories throughout:

DO THIS FIRST

DO THIS FIRST - High-priority. If you only have an hour this week, spend it here.

DO THIS NEXT

DO THIS NEXT - Important, but it can wait until the first-priority items are handled.

YOU CAN WAIT

YOU CAN WAIT - Genuinely useful, eventually. Not urgent. Do not let this distract you from what matters now.

An Even More Important Note on Rules and Regulation Than Last Time

This volume goes deeper into actual registration mechanics than Volume 1 did - CIPC processes, SARS registration, bank account requirements, and similar procedural detail. That means it is even more important to repeat this clearly: **Ryno Croft Digital Studio is not a law firm, accounting firm, tax practice, or company secretarial service.**

Government processes, portals, required documents, fees, and thresholds change - sometimes without much notice. Where we describe a process, we're describing the general shape of it as accurately as we can, so you know what to expect and what to prepare. We are deliberately not quoting exact fees, form numbers, or step-by-step portal screens, because those details can go out of date quickly, and a wrong specific is worse than a general one. Look for this box wherever it matters:

CHECK BEFORE YOU ACT

CHECK BEFORE YOU ACT - Confirm current requirements, forms, and fees directly with CIPC, SARS, your bank, or a qualified professional (accountant, tax practitioner, or company secretarial service) before acting. This handbook tells you what to expect and prepare for - not the final word on today's exact process.

Treat every process description in this volume as a preparation guide, not a substitute for checking the current official process at the time you actually do it.

Where This Volume Fits

Volume 1 of this series - the foundational handbook - is free, and always will be. This volume goes deeper into the practical mechanics of registering and launching a business, which is why it sits in the paid tier of the Ryno Croft Learning Series rather than the free handbook itself.

The mission is the same as everywhere else in this series: help you do this yourself. You are paying for depth, structure, and a properly designed, practical resource - not for access to Ryno Croft Digital

Studio's other services. Nothing in this volume points you toward hiring anyone. It is built to be worked through and implemented on your own.

Let's get into it.

PART ONE - BEFORE YOU REGISTER ANYTHING

Registering something is easy. Registering the right thing, in the right way, at the right time, is what actually matters. Part One is about making those decisions properly before you fill in a single form.

Chapter 1 - What "Starting Properly" Actually Means

What is this?

"Starting properly" doesn't mean doing everything a big company does on day one. It means making a small number of deliberate decisions - what you're registered as, how you'll bank, how you'll be taxed, and what you've agreed in writing - instead of drifting into them by accident or copying what a friend did without checking if it fits your situation.

Why does it matter?

Most of the expensive mistakes in this area aren't dramatic. They're quiet: registering a company structure that doesn't suit your risk level, mixing personal and business banking from day one, or not knowing which tax category you actually fall into until SARS asks. None of these show up immediately. All of them cost time, money, or stress later.

What should I actually do?

DO THIS FIRST

Before registering anything, write down your answers to four questions: What am I actually registering (sole proprietor, company, something else)? Who is involved (just me, or partners/co-founders)? What's my realistic risk exposure (could a mistake in my work seriously harm someone or cost significant money)? What's my honest timeline to first revenue?

These four answers shape almost every decision in the rest of this volume - so it's worth getting them down clearly before moving on.

What should I avoid?

COMMON MISTAKE

Registering a company structure, tax category, or set of accounts because "that's what everyone does" or because a friend's accountant suggested it for a completely different type of business. Your situation - risk, partners, revenue stage - determines the right answer, not general convention.

Your Action Plan

YOUR ACTION PLAN

- ☐ Answer the four questions above in writing.
- ☐ Identify which chapters in this volume are most relevant to your situation (not every chapter applies equally to every business).
- ☐ Set aside a specific week to work through registration, rather than letting it drag out indefinitely.

Chapter 2 - Choosing and Checking Your Business Name

What is this?

The practical process of choosing a name you can actually use - one that isn't already taken, doesn't infringe on someone else's trademark, and is available as a company name (if you're registering one) and, ideally, as a matching domain and social handle.

Why does it matter?

Falling in love with a name before checking its availability is a common, avoidable source of wasted time and rebranding costs. A name that can't be registered, or that collides with an existing trademark, can force a costly change after you've already printed materials or built a following around it.

What should I actually do?

- **Check company name availability** - if you're registering a Pty Ltd, CIPC checks whether your chosen name is available before approving registration.
- **Check trademark conflicts** - a name being available at CIPC doesn't guarantee it doesn't infringe on an existing registered trademark.
- **Check domain availability** - see if a reasonable version of the name is available as a website domain.
- **Check social handles** - consistency across platforms makes you easier to find.
- **Say it out loud** - test how it sounds, how it's spelled when heard, and whether it's easily confused with something else.

DO THIS FIRST

Shortlist two or three name options before you get attached to just one, and check availability (company name, domain, social handles) for all of them before deciding.

CHECK BEFORE YOU ACT

Confirm current name reservation and registration processes on CIPC's website. If your brand is central to your business, consider a basic trademark search before committing significant marketing spend to a name.

What should I avoid?

Avoid choosing a name so generic it's difficult to find online, or so similar to an established competitor that it creates confusion (or legal risk). Avoid ordering signage, packaging, or a large print run before your registration is confirmed.

Your Action Plan

YOUR ACTION PLAN

- ☐ Shortlist two to three name options.
- ☐ Check company name, domain, and social handle availability for each.
- ☐ Choose one and move forward - a good-enough available name beats a perfect unavailable one.

Chapter 3 - Deciding: Sole Proprietor or Pty Ltd, For Real This Time

What is this?

Volume 1 introduced the difference between trading as a sole proprietor and registering a private company (Pty Ltd). This chapter is about actually making that decision for your specific business, right now, rather than leaving it as a "someday" question.

Why does it matter?

Every other chapter in Part Two depends on this decision. Sole proprietors and Pty Ltds go through different registration steps, different tax treatment, and different ongoing obligations. Deciding first means you only do each process once, correctly.

What should I actually do?

Work through these questions honestly:

- **Liability** - if something goes badly wrong in your work, could you personally lose more than you're comfortable risking? Higher risk work leans toward a Pty Ltd's legal separation.
- **Credibility requirements** - do the clients or contracts you're chasing require a registered company (some corporate and government clients do)?
- **Complexity tolerance** - are you ready to take on a company's ongoing administration (annual returns, more formal accounting), or do you need the simplicity of a sole proprietorship while you find your feet?
- **Partners** - if you have a co-founder, a company structure with clearly documented ownership is usually safer than an informal arrangement.

DO THIS FIRST

Make the decision this week, in writing, with your reasons. If your risk is low, your clients don't require it, and you're still validating the business, a sole proprietorship while you get started is a completely legitimate choice.

SOUTH AFRICAN REALITY

It is common - and completely fine - to start as a sole proprietor and register a Pty Ltd later once there's real revenue, real risk, or a client that requires it. Converting later is a normal, manageable step, not a sign you did something wrong the first time.

CHECK BEFORE YOU ACT

If you have a partner or co-founder, or your work carries meaningful liability risk, get a short consultation with an accountant or attorney before deciding - this is one of the few decisions in this volume worth paying for advice on upfront.

What should I avoid?

Avoid deciding based purely on which option "sounds more professional." Avoid registering a company with a co-founder without a clear, written agreement on ownership split, roles, and what happens if one person wants to leave.

Your Action Plan

YOUR ACTION PLAN

- ☐ Answer the four questions above for your specific business.
- ☐ Write down your decision and your reasoning.
- ☐ If you have a co-founder, book time with an accountant or attorney before registering anything jointly.

Chapter 4 - Writing a One-Page Business Plan You'll Actually Use

What is this?

Not a fifty-page document written to impress a bank manager. A single page that captures what you're doing, for whom, how you'll make money, what it will cost you to run, and what you need in the next 90 days - written for you to actually use, not to file away.

Why does it matter?

Many new business owners either skip planning entirely, or over-invest in a long, polished plan nobody ever reopens. A one-page plan is fast enough to actually write, and useful enough to actually revisit.

What should I actually do?

Fill in one page with these sections:

- **The offer** - what you sell, in one or two sentences.
- **The customer** - who buys it, specifically.
- **How you'll be found** - your primary one or two channels for the first 90 days.
- **Money in** - realistic revenue expectations for the first three months.
- **Money out** - your known monthly costs, including registration and setup costs.
- **What you need** - equipment, registrations, accounts, or people required before you can properly start.
- **First 90 days** - three specific things you intend to have done.

DO THIS FIRST

Write this one page before you spend money on registration, banking, or equipment. If a section is hard to fill in, that's useful information about what still needs work.

What should I avoid?

COMMON MISTAKE

Writing an ambitious plan full of hope and no numbers. A one-page plan is only useful if it's honest - including about the parts that are still uncertain.

Avoid treating this as a one-time exercise. Revisit it at your 30, 60, and 90-day marks (Chapter 21 covers this).

Your Action Plan

YOUR ACTION PLAN

- ☐ Write your one-page plan using the sections above.
 - ☐ Share it with one honest person and ask what looks unrealistic.
 - ☐ Keep it somewhere you'll actually reopen - not buried in a folder you'll forget about.
-

PART TWO - REGISTERING YOUR BUSINESS

This is the part most people picture when they think of "starting a business" - the actual registration steps. We'll walk through what each path generally involves, so you know what to prepare, while pointing you to the right place to confirm the current exact process.

Chapter 5 - Registering as a Sole Proprietor

What is this?

Trading as a sole proprietor generally does not require registering a separate legal entity with CIPC. You are the business, legally - which is what makes it the simplest structure to start with.

Why does it matter?

Because there's no separate company to register, many new sole proprietors assume there's "nothing to do." That's not quite true - there are still a few things worth setting up properly, even without a formal company registration.

What should I actually do?

- **Decide your trading name** - you can trade under your own name, or a trading name ("trading as..."), depending on how you want to present the business.
- **Register for tax** - as a sole proprietor, your business income is generally declared as part of your personal tax return, but you still need to be correctly registered and categorised with SARS (Chapter 11).
- **Consider a trading name registration** - depending on how formal you want to be about protecting your trading name, there are options worth checking into.
- **Open a separate bank account** - even though it's not a separate legal entity, keep the money separate (Chapter 10).

DO THIS NEXT

If you want some legal protection around your trading name without the full administration of a Pty Ltd, ask an accountant or company secretarial service what options exist for registering just the name.

CHECK BEFORE YOU ACT

Confirm current requirements for sole proprietor tax registration and any trading name protections directly with SARS and CIPC, as these can differ depending on your specific circumstances.

What should I avoid?

COMMON MISTAKE

Assuming "sole proprietor" means "no admin at all." You still need proper tax registration, records, and a separate bank account - the difference is there's no separate company entity to register, not that there's nothing to do.

Your Action Plan

YOUR ACTION PLAN

- ☐ Decide your trading name.
- ☐ Confirm your SARS registration status and category (Chapter 11).
- ☐ Open a separate business bank account if you haven't already (Chapter 10).

Chapter 6 - Registering a Private Company (Pty Ltd) with CIPC

What is this?

The process of formally registering a private company through the Companies and Intellectual Property Commission (CIPC), which creates a legal entity separate from you personally.

Why does it matter?

A Pty Ltd registration is what actually creates the legal separation between you and your business - the main reason most people choose this structure. Getting the registration details right (name, directors, shareholding) at the outset avoids messy corrections later.

What should I actually do?

In general terms, registering a Pty Ltd involves:

- **Choosing and reserving your company name** (Chapter 2), or registering with a standard numbered name if you prefer to decide on a trading name separately later.
- **Deciding on directors and shareholders** - who owns what percentage, and who is formally responsible for running the company.
- **Preparing identification and required documents** for each director and shareholder.
- **Submitting your registration** through CIPC's registration process.
- **Receiving your registration documents**, including your company registration number, once approved.

DO THIS FIRST

Before submitting anything, agree - in writing - on shareholding percentages and director responsibilities with anyone else involved. Verbal agreements between friends or family starting a company together are one of the most common sources of painful disputes later.

SOUTH AFRICAN REALITY

Many small business owners register a Pty Ltd themselves directly through CIPC; others use an accountant or company secretarial service to handle it for a fee. Using a professional service costs more but reduces the chance of errors that cause delays or need correcting later - worth weighing against your own comfort with the process.

CHECK BEFORE YOU ACT

Confirm the current registration process, required documents, and fees directly on CIPC's website, or via a registered company secretarial service or accountant, before starting. This process and its requirements can change.

What should I avoid?

Avoid guessing at shareholding splits "to sort out later" - get this agreed and documented at registration, not after a disagreement has already started. Avoid using outdated third-party guides for the exact registration steps; go to CIPC's own current guidance.

Your Action Plan

YOUR ACTION PLAN

- ☐ Confirm your company name is available (Chapter 2).
- ☐ Agree and document director and shareholder details in writing, including with any co-founders.
- ☐ Confirm the current CIPC registration process and gather the required documents before starting.

Chapter 7 - After Registration: What CIPC Expects From You Every Year

What is this?

Once a Pty Ltd is registered, it takes on ongoing annual obligations to CIPC - most notably an annual return - that don't apply to sole proprietors.

Why does it matter?

Missing these ongoing obligations doesn't just create paperwork problems - it can eventually lead to a company being deregistered, which can cause serious complications if you're still trading under it.

What should I actually do?

DO THIS FIRST

Note your company's registration date and find out what your annual return deadline and requirements are, then set a recurring calendar reminder well ahead of it - not the week it's due.

DO THIS NEXT

Keep your company's registered details (address, director information) up to date with CIPC whenever they change. Keep basic company records - resolutions, share registers, and similar documents - even if your business is small.

CHECK BEFORE YOU ACT

Confirm current annual return requirements, deadlines, and any associated fees directly with CIPC, or through your accountant or company secretarial service.

What should I avoid?

COMMON MISTAKE

Treating "I registered the company" as the finish line. Registration is the start of an ongoing relationship with CIPC, not a one-time task.

Your Action Plan

YOUR ACTION PLAN

- ☐ Confirm your annual return deadline and set a recurring reminder ahead of it.
- ☐ Check that your registered address and director details are current with CIPC.
- ☐ Decide whether you'll handle annual compliance yourself or via an accountant/company secretarial service.

Chapter 8 - B-BBEE: What It Is and Whether You Need to Worry About It Yet

What is this?

Broad-Based Black Economic Empowerment (B-BBEE) is a South African policy framework that affects how some businesses are scored and preferred, particularly when working with larger corporates, government, or supply chains that require B-BBEE compliance from their suppliers.

Why does it matter?

Many very small businesses don't need to actively manage B-BBEE early on - but if your target clients include larger corporates or government entities, it can directly affect whether you win certain contracts.

What should I actually do?

- **Find out if it applies to you yet** - very small businesses below a certain annual turnover threshold are often treated more simply than larger ones, but thresholds and rules change.
- **Check what your target clients actually require** - if you're chasing corporate or government contracts, ask directly what level of B-BBEE compliance or documentation they expect from suppliers.
- **Understand the difference between an affidavit and a certificate** - very small businesses are often able to self-declare via a simple affidavit rather than undergo a full, costly rating process.

SOUTH AFRICAN REALITY

If your business is very small and you're not yet chasing corporate or government contracts, B-BBEE may not need active attention right now. It becomes relevant the moment a client or tender specifically asks for it.

CHECK BEFORE YOU ACT

Confirm current B-BBEE turnover thresholds, requirements, and the correct documentation for your business size directly through the Department of Trade, Industry and Competition's guidance, a B-BBEE verification agency, or your accountant.

What should I avoid?

Avoid paying for an expensive B-BBEE rating process before confirming you actually need one at your current size. Avoid ignoring it entirely if you're actively pursuing corporate or government clients - it can quietly disqualify you from opportunities you'd otherwise win.

Your Action Plan

YOUR ACTION PLAN

- ☐ Check your current annual turnover against current B-BBEE thresholds.
- ☐ If you're targeting corporate or government clients, ask what level of compliance they require.
- ☐ Only pursue formal certification once you've confirmed it's actually needed.

Chapter 9 - Industry Licences and Permits: How to Find Out What Applies to You

What is this?

Beyond general business registration, many industries require specific licences, permits, or professional registrations - food handling, health services, financial services, liquor sales, and many others.

Why does it matter?

Operating without a required licence or permit isn't just a compliance risk - it can result in being shut down, fined, or unable to legally operate at all, sometimes after you've already invested in premises or equipment.

What should I actually do?

DO THIS FIRST

Before committing to premises, equipment, or major spend, find out definitively whether your specific industry, product, or service requires any licence, permit, or professional registration - don't assume it doesn't just because you haven't heard of one.

Good places to check, depending on your industry: your relevant industry association or professional body, your local municipality (for trading licences and premises-related permits), and any national regulator specific to your sector.

CHECK BEFORE YOU ACT

Because licensing requirements are highly industry-specific and can vary by municipality, confirm requirements directly with your local municipality and relevant industry regulator or association before committing significant spend.

What should I avoid?

COMMON MISTAKE

Assuming "everyone else in my industry seems informal about this" means it's optional. Enforcement can be inconsistent, but the requirement not existing and the requirement not being enforced yet are two very different things.

Your Action Plan

YOUR ACTION PLAN

- ☐ List anything specific to your industry that might require a licence or permit.
 - ☐ Contact your local municipality and relevant industry body to confirm.
 - ☐ Resolve any required licensing before committing to premises or major equipment spend.
-

PART THREE - MONEY & TAX SETUP

Getting your business's money and tax setup right from day one is far easier than untangling a mess two years later. Part Three walks through the practical setup, in the order it usually needs to happen.

Chapter 10 - Opening a Business Bank Account

What is this?

A bank account dedicated to your business - separate from your personal account - used exclusively for business income and expenses.

Why does it matter?

Beyond the obvious clarity benefits, a separate account is often required to register a Pty Ltd's finances properly, makes bookkeeping dramatically simpler, and gives you (and SARS, if ever asked) a clean, provable record of business activity.

What should I actually do?

DO THIS FIRST

Open a dedicated business bank account before you take your first payment, regardless of whether you're a sole proprietor or a Pty Ltd.

Generally, banks will ask for some combination of: your ID, proof of address, and - for a Pty Ltd - your company registration documents and director details. Requirements vary by bank.

- **Compare business banking options** - fees, transaction limits, and features vary between banks; a quick comparison can save meaningful money over time.
- **Set up basic controls** - even as a very small business, know who can authorise payments and keep it deliberate.

CHECK BEFORE YOU ACT

Confirm current account opening requirements directly with your chosen bank, as required documents and processes differ between banks and change periodically.

What should I avoid?

COMMON MISTAKE

Running the business through a personal account "just for now." This habit is very hard to undo later, and it's the single biggest reason business owners can't clearly answer basic questions about their own numbers (see Volume 1, Chapter 5).

Your Action Plan

YOUR ACTION PLAN

- ☐ Compare two or three business banking options for fees and features.
- ☐ Gather the required documents for your chosen bank.
- ☐ Open the account before your next customer payment.

Chapter 11 - Registering With SARS

What is this?

The process of getting yourself (as a sole proprietor) or your company (as a Pty Ltd) correctly registered and categorised with the South African Revenue Service, so that your tax obligations are clear from the start.

Why does it matter?

Being unregistered, incorrectly registered, or unsure which category you fall into is a common source of stress and, eventually, penalties. Getting this right early is far less painful than correcting it after SARS raises a query.

What should I actually do?

DO THIS FIRST

Confirm your correct registration status with SARS as early as possible - as an individual (sole proprietor) or as a company (Pty Ltd) - rather than assuming your existing personal tax number covers everything automatically.

Generally, this involves confirming or completing your registration via SARS eFiling or in person at a SARS branch, and making sure your registered details (address, contact information, banking details for refunds) are current and accurate.

SOUTH AFRICAN REALITY

Many first-time business owners are surprised to learn there are several different tax categories and registration types depending on turnover and structure (covered fully in Chapter 12). Getting registered doesn't automatically mean you're in the right category - that's a separate decision.

CHECK BEFORE YOU ACT

Confirm your current registration status and correct category directly on SARS's eFiling platform, at a SARS branch, or with a registered tax practitioner. Requirements and platforms can change.

What should I avoid?

Avoid guessing at your registration status because "I've always paid tax as an individual, so I assume it's fine." Confirm it specifically for your business activity.

Your Action Plan

YOUR ACTION PLAN

- ☐ Confirm your current SARS registration status.
- ☐ Update your registered contact and banking details if they've changed.
- ☐ Move to Chapter 12 to confirm your correct tax category.

Chapter 12 - Turnover Tax, Standard Tax, and VAT: Choosing Correctly

What is this?

South Africa has different tax categories relevant to small businesses, generally including standard income tax, a simplified turnover tax option for smaller qualifying businesses, and VAT registration once turnover crosses a relevant threshold (or voluntarily, in some cases, below it).

Why does it matter?

Choosing or defaulting into the wrong category can mean paying more tax than necessary, or - just as costly - not registering for something you're actually required to register for, which can lead to penalties once discovered.

What should I actually do?

- **Standard income tax** - the default category most individuals and companies fall into, taxed on profit rather than turnover.
- **Turnover tax** - a simplified system for qualifying very small businesses below a certain annual turnover, taxed on turnover rather than profit, with simpler record-keeping requirements but some trade-offs.
- **VAT** - generally becomes compulsory once your turnover crosses a specific annual threshold, though voluntary registration below that threshold is sometimes possible and can occasionally suit certain business models.

DO THIS FIRST

Don't guess which category suits you - get a short consultation with an accountant or registered tax practitioner to confirm which option is actually best for your specific turnover, costs, and business model.

SOUTH AFRICAN REALITY

Turnover tax's simplicity can be appealing, but it isn't automatically the cheapest option for every business - it depends heavily on your actual profit margin and cost structure. A business with high costs relative to turnover may pay less under standard tax.

CHECK BEFORE YOU ACT

Confirm current thresholds, qualifying criteria, and rates for turnover tax and VAT directly with SARS or a registered tax practitioner - these figures change periodically and a wrong assumption here can be costly.

What should I avoid?

COMMON MISTAKE

Choosing turnover tax purely because it sounds simpler, without actually comparing what you'd pay under each option for your specific numbers.

Avoid ignoring VAT registration once you're approaching the compulsory threshold - track your rolling turnover, not just your latest month.

Your Action Plan

YOUR ACTION PLAN

- ☐ Get a short consultation with an accountant or tax practitioner about your correct category.
- ☐ Track your rolling 12-month turnover against the current VAT threshold.
- ☐ Confirm your decision in writing and register accordingly.

Chapter 13 - If You're Hiring: PAYE and UIF Basics

What is this?

If you take on employees, you generally take on responsibilities as an employer - including PAYE (Pay As You Earn income tax deducted from salaries) and UIF (Unemployment Insurance Fund contributions) - separate from your own business tax obligations.

Why does it matter?

Employer obligations exist from your first employee, not once you're "big enough." Getting this wrong exposes both you and your employee to complications, and can result in penalties for late or incorrect registration and payments.

What should I actually do?

DO THIS FIRST

Before your first employee's start date, confirm your employer registration requirements with SARS (for PAYE) and the Department of Employment and Labour (for UIF), not after their first payslip is due.

- **Employer registration** - registering as an employer for PAYE purposes, generally required once you have employees earning above a certain threshold.
- **UIF registration and contributions** - both employer and employee generally contribute a percentage, administered through a specific process.
- **Payslips and records** - accurate, compliant payslips and employment records from day one.
- **Other potential obligations** - depending on your industry and employee numbers, additional requirements (such as sectoral bargaining council rules or the Compensation Fund for workplace injury) may apply.

CHECK BEFORE YOU ACT

Confirm current employer registration requirements, thresholds, and contribution rates directly with SARS, the Department of Employment and Labour, and - if relevant to your industry - your sector's bargaining council, before your first hire.

What should I avoid?

COMMON MISTAKE

Paying a new employee "cash in hand" informally while you "sort out the paperwork later." This creates real legal and financial exposure for both you and the employee, and gets harder to unwind the longer it continues.

Your Action Plan

YOUR ACTION PLAN

- ☐ Confirm employer registration requirements before your first hire's start date.
- ☐ Set up a compliant payslip and payroll process, even if done manually at first.
- ☐ Confirm any industry-specific obligations that apply to your sector.

Chapter 14 - Setting Up Bookkeeping From Day One

What is this?

A simple, consistent system for recording every sale, expense, invoice, and receipt from your very first transaction - the launch-specific version of the record-keeping habit covered more generally in Volume 1, Chapter 8.

Why does it matter?

Bookkeeping set up properly from transaction one is dramatically easier to maintain than bookkeeping reconstructed months later from memory, bank statements, and a shoebox of receipts.

What should I actually do?

DO THIS FIRST

Choose your bookkeeping system - a spreadsheet or a basic accounting tool - before your first sale, not after your tenth.

- **Chart of accounts** - even a simple list of income and expense categories relevant to your business.
- **Opening balances** - record what you're starting with (any equipment, stock, or money put into the business).
- **A consistent habit** - log transactions weekly at minimum, ideally as they happen.
- **Separate business and personal** - never mix categories, even for small amounts.

DO THIS NEXT

Decide early whether you'll manage bookkeeping yourself or bring in a bookkeeper - either is valid, but decide deliberately rather than by default.

What should I avoid?

COMMON MISTAKE

Starting bookkeeping "properly" only once the business feels more established, leaving the first few months to reconstruct later. Those early months are exactly when reconstructing is hardest - the transactions are freshest, but often the least documented.

Your Action Plan

YOUR ACTION PLAN

- ☐ Choose and set up your bookkeeping system before your first sale.
 - ☐ Record any opening balances (equipment, stock, starting capital).
 - ☐ Set a recurring weekly time to log transactions.
-

PART FOUR - PROTECTING WHAT YOU'RE BUILDING

Before you launch publicly, a small number of protections are worth having in place - not because something will necessarily go wrong, but because they're far cheaper to set up now than to improvise under pressure later.

Chapter 15 - Contracts You Need Before Your First Sale

What is this?

The small set of written agreements most small businesses genuinely need in place before taking on their first real client or customer - not a full legal library, just the essentials.

Why does it matter?

Verbal agreements are difficult to enforce and easy to misremember, especially once money or a dispute is involved. A simple written agreement protects both you and your customer by making expectations clear from the start.

What should I actually do?

Depending on your business, consider having a basic version of:

- **A terms of service or standard terms** - covering what you deliver, payment terms, and what happens if something goes wrong.
- **A simple client or service agreement** - for anything beyond a small, one-off transaction.
- **A deposit or payment agreement** - if you require upfront payment for larger jobs.
- **A basic supplier agreement** - if you rely on specific suppliers for stock or materials.

DO THIS FIRST

Get at least one basic, properly worded agreement template in place before your first sale of any meaningful value - even a simple one-page version is far better than nothing.

CHECK BEFORE YOU ACT

Have a properly qualified attorney review or draft your core templates, even if you find a starting template online - a small upfront cost here is usually far cheaper than a dispute later.

What should I avoid?

COMMON MISTAKE

Using a contract template downloaded from an unfamiliar website without having it checked, especially for anything involving significant money, ongoing service, or shared risk.

Avoid doing meaningful work before a written agreement (even a simple one) is signed or clearly confirmed in writing, such as via email.

Your Action Plan

YOUR ACTION PLAN

- ☐ Identify which basic agreements your business needs (see the list above).
- ☐ Get a properly reviewed template for each one.
- ☐ Use them consistently from your next sale onward.

Chapter 16 - Insurance: What to Consider and When

What is this?

Business insurance options relevant to small businesses - which can include public liability, professional indemnity, business assets, and other categories depending on what you do.

Why does it matter?

The right insurance protects your business (and sometimes your personal assets) from a single bad event undoing months or years of work. Not every business needs every type, but most businesses need at least something.

What should I actually do?

Consider, depending on your specific work:

- **Public liability insurance** - if your work brings you into contact with other people's property or the general public.
- **Professional indemnity insurance** - if you give advice or a professional service where a mistake could cause a client financial loss.
- **Asset or equipment insurance** - if your business depends on specific expensive equipment or stock.
- **Vehicle insurance** - if you use a vehicle for business purposes, confirm it's covered appropriately, not just under a personal policy.

DO THIS NEXT

Get at least one or two quotes and a proper conversation with a broker about what's relevant to your specific type of work, rather than guessing at what you need.

CHECK BEFORE YOU ACT

Confirm what's actually required or strongly advisable for your specific industry with an insurance broker, as requirements and risk profiles vary significantly between business types.

What should I avoid?

Avoid assuming your personal insurance policies automatically cover business activity - they often explicitly don't. Avoid skipping insurance entirely simply because "nothing's gone wrong so far."

Your Action Plan

YOUR ACTION PLAN

- ☐ Identify which insurance categories are relevant to your specific work.
- ☐ Get at least one broker conversation and quote.
- ☐ Decide, in writing, what you're covering now versus deliberately deferring.

Chapter 17 - POPIA in Practice for a New Business

What is this?

The Protection of Personal Information Act (POPIA) governs how businesses collect, use, store, and share people's personal information - names, contact details, and similar data - including customer and prospect information most small businesses collect from day one.

Why does it matter?

Even a very small business that collects customer names, emails, or phone numbers is handling personal information subject to POPIA. Getting the basics right from the start is far simpler than untangling non-compliant practices later.

What should I actually do?

DO THIS FIRST

From your very first customer or enquiry record, only collect personal information you actually need, get clear consent for how you'll use it (especially for marketing emails - see Volume 1, Chapter 16), and store it securely.

- **Have a basic privacy notice** - even a simple, honest explanation of what information you collect and why, especially if you have a website collecting enquiries.
- **Get explicit consent for marketing** - don't assume that giving you their email for one purpose (like a quote) means consent to add them to a marketing list.
- **Store information securely** - password-protected, limited access, not scattered across unsecured spreadsheets and devices.
- **Have a plan for data requests** - know, in principle, how you'd respond if someone asked what information you hold about them.

CHECK BEFORE YOU ACT

Confirm current POPIA compliance requirements relevant to your specific business (particularly if you handle sensitive information, operate a website with data collection, or plan significant email marketing) with a qualified professional, as compliance obligations can be nuanced.

What should I avoid?

COMMON MISTAKE

Adding every enquiry, quote request, or business card you collect to a general marketing email list without separate, explicit consent for that specific use.

Your Action Plan

YOUR ACTION PLAN

- ☐ Write a simple, honest privacy notice for your website or enquiry forms.
- ☐ Review how you currently collect and store customer information, and tighten anything loose.
- ☐ Confirm your email list only includes people who've explicitly consented to receive marketing.

Chapter 18 - Getting Paid: Invoicing and Payment Setup

What is this?

The practical systems and decisions behind actually getting paid: invoice templates, accepted payment methods, and your standard payment terms.

Why does it matter?

A great sale followed by a slow, confusing, or unprofessional payment process undermines the whole customer experience - and directly affects your cash flow (Volume 1, Chapter 7).

What should I actually do?

DO THIS FIRST

Create one consistent, professional invoice template before your first sale, including your registered business details, clear payment terms, and your banking details.

- **Decide your payment methods** - bank transfer (EFT), card payments, and other options relevant to your customers.
- **Decide your standard terms** - deposit upfront for larger jobs, payment on delivery, or a specific number of days for invoice payment.
- **Set up any payment processing tools** you need, if accepting card payments or online payments.
- **Keep invoice numbering consistent and sequential** - useful for your own records and for SARS if ever queried.

DO THIS NEXT

If you'll issue many invoices, consider basic invoicing software rather than manually recreating a document each time - it reduces errors and saves time as volume grows.

What should I avoid?

COMMON MISTAKE

Inconsistent, informal invoicing (like a WhatsApp message with a price) for anything beyond the smallest, most casual transaction. It looks unprofessional and creates weak records if a dispute or tax query ever arises.

Your Action Plan

YOUR ACTION PLAN

- ☐ Create your standard invoice template.
 - ☐ Decide and write down your standard payment terms.
 - ☐ Set up your chosen payment methods before your first sale.
-

PART FIVE - LAUNCH

Everything so far has been preparation. Part Five is about actually opening for business - properly, deliberately, and with a clear plan for the days that follow.

Chapter 19 - Setting Up Your Professional Tools

What is this?

The small set of practical tools most businesses need to look and operate professionally from day one: a dedicated business email address, basic file storage, and simple communication and scheduling tools.

Why does it matter?

A professional first impression - a proper business email rather than a personal one, a working way to schedule or take enquiries - quietly builds trust before you've said a word about your actual offer.

What should I actually do?

- **A dedicated business email address**, ideally matching your domain, rather than a personal or generic free-provider address.
- **A simple, organised way to store business documents** - contracts, invoices, registration documents - somewhere backed up and accessible.
- **A basic scheduling or enquiry system**, even a simple calendar link, if bookings or calls are part of how customers reach you.
- **A way to be found** - your Google Business Profile and basic online presence (Volume 1, Chapters 14 and 15) fit naturally into this launch stage.

DO THIS FIRST

Set up a dedicated business email address before you start actively promoting the business - it's one of the fastest, cheapest professionalism upgrades available.

YOU CAN WAIT

Advanced tools - CRMs, automation platforms, elaborate project management systems - until you've proven your basic manual processes work and understand what you actually need automated (see Volume 1, Chapter 21).

What should I avoid?

Avoid running a serious business entirely from a personal, informal email address indefinitely - it undercuts the professional impression everything else in this volume is building toward.

Your Action Plan

YOUR ACTION PLAN

- ☐ Set up a dedicated business email address.
- ☐ Organise a simple, backed-up system for storing key business documents.
- ☐ Set up whatever basic scheduling or enquiry tool suits how customers reach you.

Chapter 20 - Your Launch Week Checklist

What is this?

A consolidated, practical checklist pulling together the essentials from this entire volume - the things that should genuinely be in place before you actively open for business and start promoting it.

Why does it matter?

It's easy to open "softly" with pieces missing and tell yourself you'll finish the setup later. Some pieces (banking, tax registration, basic contracts) are far easier to have in place from day one than to retrofit after you're already trading.

What should I actually do?

DO THIS FIRST

Go through the checklist below honestly. Anything unchecked is your priority this week - not marketing, not a new logo, not anything else in this volume.

YOUR ACTION PLAN

- ☐ Business name decided and checked for availability.
- ☐ Correct structure decided (sole proprietor or Pty Ltd) and, if applicable, CIPC registration complete.
- ☐ SARS registration confirmed and correct tax category chosen.
- ☐ Dedicated business bank account open.
- ☐ Basic bookkeeping system set up and ready to use.
- ☐ Core contract or terms template ready, reviewed by a professional.
- ☐ Relevant insurance considered and, where needed, in place.
- ☐ Basic POPIA-compliant privacy notice and consent process in place.
- ☐ Standard invoice template and payment methods ready.
- ☐ Dedicated business email address set up.
- ☐ Google Business Profile and basic online presence live (Volume 1, Chapters 14-15).

What should I avoid?

Avoid launching publicly with money-related basics (banking, tax registration, contracts) still unresolved "for now." These are exactly the items that become harder, not easier, to fix once real transactions are flowing.

Your Action Plan

YOUR ACTION PLAN

- ☐ Complete the checklist above, honestly.
- ☐ Resolve any unchecked essentials before actively promoting your launch.
- ☐ Set your actual launch date once the checklist is genuinely complete.

Chapter 21 - Your First 30 Days

What is this?

A practical framework for the first month of actually trading - separate from the 90-day framework in Volume 1, Chapter 25, which assumes an established business already working through improvement priorities.

Why does it matter?

The first 30 days of a new business are unusually chaotic - registration follow-ups, first customers, first mistakes, and a hundred small decisions at once. A simple framework keeps you focused on what actually matters in that specific window.

What should I actually do?

In your first 30 days, prioritise:

- **Week 1** - confirm every launch-week checklist item (Chapter 20) is genuinely working in practice, not just technically "done."
- **Week 2** - focus entirely on your first real customers: deliver well, ask for feedback, and start your record-keeping habits properly (Chapter 14).
- **Week 3** - review your numbers honestly for the first time: what's actually coming in, what's going out, and whether your one-page plan (Chapter 4) still looks realistic.
- **Week 4** - identify the single biggest gap or friction point you've discovered in the last three weeks, and fix or plan to fix it before month two.

DO THIS FIRST

At the end of week four, write down the three things that surprised you most about actually running the business, compared to how you expected it to go. This is genuinely useful information for adjusting your plan.

What should I avoid?

COMMON MISTAKE

Trying to perfect every system before taking your first customer. Some things only become clear once real money and real customers are involved - your first 30 days are for learning that, not avoiding it.

Your Action Plan

YOUR ACTION PLAN

- ☐ Follow the week-by-week focus above for your first month.
- ☐ Revisit your one-page plan at the end of the month and adjust it honestly.
- ☐ Move into Volume 1's 90-day framework (Chapter 25) once your first month is complete.

GO DEEPER

Volume 3 (The Small Business Money Handbook) and Volume 4 (The Customer & Sales Handbook) go much deeper into what comes next once you're properly launched and trading.

What's Next

You've now worked through the practical mechanics of starting a South African small business properly - from deciding what to register and as what, through CIPC and SARS registration, money and tax setup, protecting what you're building, and a realistic first 30 days.

Combined with Volume 1, you now have both the "what and why" and the "how" of getting a small business properly off the ground. Go back to Chapter 20's launch checklist, resolve anything still outstanding, and set your launch date.

The Ryno Croft Learning Series

This handbook is Volume 2 of an ongoing series. Future volumes go deeper into single topics:

- **Volume 1** - A Practical Guide to Starting and Running a Small Business in South Africa
- **Volume 3** - The Small Business Money Handbook
- **Volume 4** - The Customer & Sales Handbook
- **Volume 5** - The Practical Marketing Handbook
- **Volume 6** - The Digital Visibility Handbook
- **Volume 7** - The Email Marketing Handbook
- **Volume 8** - The Small Business Systems Handbook
- **Volume 9** - The 90-Day Growth Handbook

Thank you for reading. Now go and do something with it.

— Ryno Croft Digital Studio